

Building a Strong Manufacturing Sector in India

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Government policies have great influence on developmental trajectories of specific industrial sectors of a country. Infant Industry Theory has dominated as the basis of our industrial policies so far. But the approach to protect and foster our immature industries has not worked. After-effects of protecting our trader-owned industries is reflected in shoddy product-quality and total lack of customer care almost till the end of eighties.

In 1991, the central government took a U-turn and removed this protection under international pressure. But it has not given up its bureaucratic control over the industry till now through inspector *nij* and complex multi-level taxation and its corruption-ridden recovery. Manufacturing efforts in India have slowly become a scary nightmare and many entrepreneurs have just given up.

Today, industrial estates barely function and are unable to compete with low-cost and low-quality imports. Big trader-owned 'industries' have given up manufacturing and are selling imported products under their own labels, claiming that as Indian manufacturing output! Only exceptions are pharmaceuticals (thanks to growing ill-health due to malnutrition at one end and greedy over-eating at the other) and the automobile industry.

Technical entrepreneurs are struggling and talents get no support from the corrupt bureaucratic apparatus of the government. Nothing is done on time and whatever gets done is shoddy

and problematic. Slowly, work culture in India has degraded.

Engineering education turns out sales executives without any hands-on engineering knowledge or skills, or even an aptitude to be hands-on. IT is limited to services with no IT product to our credit.

In 2013, the UPA government-



ment proposed a new industrial policy for the electronics sector. Alas, again we are going to the old regime of protecting and fostering our immature industries. The government is taking the role of a boss with a promise of subsidising industries using government funds. One knows that such policies can become a breeding ground for corruption and misuse. It needs to be abandoned.

Success from 1983 to 1990

Late Prime Minister Rajiv Gandhi was my friend since 1976, till we lost him in 1991. During his non-political years as a pilot, I convinced him that electron-

ics and communication technologies could be used as nation-building tools by India by integrating the nation through easy information movement. Later, when he joined politics, I convinced Mrs India Gandhi in 1982 to de-licence at least the consumer electronics sector and put thrust on software.

New policy came into being in August 1983. As a result domestic manufacturing grew from mere 12 billion (1200 crore) rupees in 1983-84 to 94 billion rupees in 1989-90, when I left; that is, 40 per cent annual growth in manufacturing. Later I introduced Material, Technology Brand Name (MTB) plan for SMEs to market high-quality B&W and CTVs at extremely competitive prices. In 1988-89, I did the same for India-made personal computers (PCs) by supporting our private medium-scale industry with technology and selling these at ₹ 10,000, when Wipro and HCL were selling PCs at double the price. Soon both dropped their prices to similar levels.

After I left, bureaucrats managed to kill those initiatives one after the other. But Rajiv's loss ended my 'Capital punishment' and I returned to Mumbai for good.

How to rebuild manufacturing sector

We have a model right across the Himalayas that we should learn from but not ape. In a short span of 25 to 30